input requirements. Heavy Vehicles Factory was set up to manufacture tanks in Avadi on the outskirts of Chennai. Standard Motors too started manufacturing cars in Chennai. Ashok Motors (later Ashok Leyland) and Standard Motors together helped form an automobile cluster in the Chennai region. The Avadi industrial estate was established in the 1950s to support the small and medium companies supplying to the large firms in the region. More hydro-electric power projects in the state were also initiated to increase the spread of electrification. The government played a major role in all these processes. The Salem Steel Plant was set up in 1973 to produce stainless steel.

The 1970s and 1980s saw the setting up of emergence of powerloom weaving clusters in the Coimbatore region as well as expansion of cotton knitwear cluster in Tiruppur and home furnishings cluster in Karur. This period also saw more encouragement of the small and medium sector with setting up of industrial estates by the state government in different parts. The Hosur industrial cluster is a successful case of how such policy efforts to promote industrial estates helped to develop industries in a backward region.

Industrialisation in Tamil Nadu – Liberalization Phase

The final phase of industrialisation is the post-reforms period since the early 1990s. The reforms made the state governments more responsible for resource mobilisation and they were forced to compete with each other to attract private investments for industrialisation. Incentives such as cheap land, tax concessions and subsidised but quality power were all offered to woo investors. Trade liberalisation and currency devaluation also helped open up export markets. This led to two major developments.

The important industries in the state that evolved over a much longer period include sugar, fertilizers, cement, agricultural implements, iron and steel, chemicals, transformers and paper.

Because of all these factors, Tamil Nadu at present has the largest number of factories among all states in India and also has the largest share of workforce employed in manufacturing. Importantly, it is more labour intensive compared to other industrially advanced states like Maharashtra and Gujarat. The major industries are automobiles, auto-components, light and heavy engineering, machinery, cotton, textiles, rubber, food products, transport equipment, chemicals, and leather and leather goods. Unlike other states, the industries are spread across all regions of the state (there are 27 clusters in 13 districts) with many of them being export oriented as well. The state has a well-developed network of roads, rail, air and major ports.

5.5 Major Industrial Clusters and Their Specialisation in Tamil Nadu

Automotive Clusters

Chennai is nicknamed as "The Detroit of Asia" because of its large auto industry base. Chennai is home to large number of auto assembly and component making firms. While there were a few domestic firms like TVS, TI Cycles, Ashok Leyland and Standard Motors earlier, in the post-reform period, several MNC firms like Hyundai, Ford, Daimler-Benz and Renault-Nissan have opened factories in the region. This in turn has attracted a number of component suppliers from foreign countries. Many local firms too cater to component production for all these firms.

Hosur is another auto cluster with firms like TVS and Ashok Leyland having their factories there. Coimbatore region is also developing into an auto component cluster.

Truck and Bus Body Building Industry Clusters

The Namakkal-Tiruchengode belt in western Tamil Nadu is known for its truck body building industry. Karur is another major hub with more than 50 units. Many entrepreuners

27_Economics_Unit_5_EM.indd 331 23-03-2020 20:01:36